Beyond GDP: how rich countries and how unequal the world is

> Economic growth is a rise in real output. Economic development asks whether people are healthier, better educated and better off, and who gets the gains. Two recent reports put numbers on both questions.

0.958
Australia's Human Development Index (HDI) value, rank 7 of 193 (HDR 2025, 2023 data)

0.972 / 0.970
Iceland / Norway, the top two HDI values

0.388
South Sudan, the lowest HDI value (rank 193)

75% / 2%
Share of global wealth held by the richest 10% / the poorest half

> 90% combined
The top 10% of earners take more income than the other 90% together

61%
Women's hourly pay as a share of men's, excluding unpaid work

1. Growth versus development (1D.1)

	Economic growth	Economic development
Meaning	Increase in real GDP over time	Improvement in living standards, health, education and opportunity
Measure	Real GDP, real GDP per capita	Human Development Index: life expectancy, education and income per person
Can one occur without the other?	Yes. GDP can rise while gains go to a few or while health and schooling stay poor. HDI can improve through health and education even when income grows slowly.	

- **HDI 2025 report** (data for 2023): Australia ranks 7th with 0.958, below Iceland (0.972) and Norway (0.970). At the bottom are the Central African Republic (0.414), Somalia (0.404) and South Sudan (0.388). The gap between the top and bottom is a gap in development, not only in income.
- A high HDI rank does not mean equal outcomes inside the country. The HDI is an average, so it needs to be read together with distribution data.

2. Distribution of income and wealth (1D.2)

The World Inequality Report 2026 (December 2025) found that global wealth and income are highly concentrated.

Measure	Finding
Wealth held by the richest 10% / poorest 50%	75% / 2%
Income	The top 10% of earners take more than the other 90% combined; the bottom half gets less than 10%
The very top	Fewer than 60,000 people (the top 0.001%) hold about three times the wealth of the poorest half. Their share of global wealth rose from almost 4% in 1995 to more than 6%.
Gender	Women earn about 61% of men's hourly pay excluding unpaid work and 32% including it
Climate	The wealthiest 10% account for about 77% of emissions linked to capital ownership; the poorest half 3%

The inequality figures are as reported by The Guardian (10 December 2025), not read from the report itself.

Exam angle: use the HDI to separate growth from development, then use the inequality data to show that averages hide distribution. Name a specific figure each time. Link to the consequences: inequality limits growth in living standards, and development depends on policy choices, not income alone.

Syllabus link

HSC 2009 Topic 1 (1D Globalisation and economic development): 1D.1 differences between economic growth and economic development; 1D.2 distribution of income and wealth. Also supports Year 12 (2025) Y3d.2 and Y3d.3, and Y1d.2.

Try this

1. Distinguish between economic growth and economic development. (2 marks)
2. Explain why Australia's high HDI ranking does not mean income is equally distributed. (3 marks)
3. Assess the extent to which GDP per capita measures development. (6 marks)

Sources: UNDP, Human Development Report 2025 — https://hdr.undp.org/content/human-development-report-2025 (HDI values and ranks as reproduced at https://en.wikipedia.org/wiki/List_of_countries_by_Human_Development_Index) · World Inequality Lab, World Inequality Report 2026 — https://wir2026.wid.world/ · The Guardian, 10 December 2025, via Share The World's Resources — https://sharing.org/information-centre/reports/just-0-001-hold-three-times-the-wealth-of-poorest-half-of-humanity-report-finds/